



“Portfolio discipline is critical, and companies must manage state-wise pricing, mix and costs, rather than relying only on volume growth. Capital efficiency has become non-negotiable”

SHEKHAR RAMAMURTHY
EXECUTIVE DEPUTY CHAIRMAN,
ABD



“For ABD, the profitability story lies in its backward integration strategy. Apart from just good visibility on profitability, the simplicity of that strategy is a huge plus”

ABHIJEET KUNDU
CO-HEAD OF RESEARCH,
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Ricard, whose presence in India grew significantly in 2001 after it acquired Seagram globally. This deal brought popular whisky brands such as Royal Stag, 100 Pipers, Imperial Blue, and Blender's Pride into its portfolio. Last July, Pernod Ricard sold Imperial Blue (the brand was then doing around 22 million cases per annum) to Tilaknagar Industries for ₹4,150 crore. Despite two brands dominating in India, ABD's edge lies in the fact that the numbers for domestic players are increasing faster than those of the international players.

In India, the path to success is not about deep pockets. Ramamurthy outlines how the alcobev market is highly regulated, fragmented and state-driven. “It means strategy and execution matter more than spend. ABD competes by being very clear about where we play and how we win,” he says.

According to him, the approach is to focus on segments where scale, margins, and distribution depth can co-exist. “Backward integration protects margins, while selective investments ensure capital is deployed with discipline.”

Antique Stock Broking's Kundu thinks ABD is a case of successful professionalisation. “It is a big positive for the organisation,” he says. The acquisition strategy of ABD, in his view, is quite similar to that of any well-run FMCG company.

“They acquire small brands and scale them up very smartly. Obviously, their distribution strength helps.” Clearly, the strategy has evolved for ABD and must continue to do so.

To ICICI Securities' Menon, the build-buy-partner model is a strategic differentiator, with partnerships being particularly unique. “They have built Iconiq White to make it one of the fastest-growing whisky brands. The acquisition of Fullarton Distilleries' brands has brought in a premium set, accelerating the entry into high-margin craft segments,” he says. The partnership with Ranveer Singh, adds Menon, “goes beyond the more traditional endorsement model.”

That said, the management is not taking its eyes off every growth opportunity. Chhabria, when asked why the current moment is exciting for the company, is clear that ABD is still in its infancy. “There are great plans, and we already have some great products, making the future very vibrant.”

After decades in one of India's most volatile industries, restraint still appears to be the preferred blend for the man who built a liquor empire. **BT**

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